

## DISSENTING OPINION BY M. ERICH.

[*Translation.*]

Being unable, much to my regret, to concur in the Court's judgment, I feel called upon to state my separate opinion on the points in the case upon which the judgment gives a decision.

In reply to the application by the Estonian Government, the Government of Lithuania lodged with the Court two preliminary objections, one of which is of a peremptory character, precluding debate, while the second may, in this case, leave open the possibility of the Court's subsequently examining the merits of the case to which its judgment refers.

Both objections are in my opinion strictly preliminary. The defendant Party placed them rightly in the order in which they stand. The first objection, in its essence, is even more preliminary than the second, for the following reasons:

The so-called nationality of the claim is really a metaphorical way of speaking, an inexact term likely to cause some confusion and even at times to be construed too widely. The alleged absence from the claim of a certain "nationality" does not affect the claim itself. It refers to the relation between a private person and a State. The individual or legal personality concerned may also have a claim which is materially well-founded, but in order that he may be able to assert it in the international sphere and bring an action against a foreign State, the State to which he has recourse must be duly qualified to intervene on his behalf.

The purpose of the first objection is to dispute Estonia's right to defend the action brought by the *Esimene* Company. The objection opposes the institution by Estonia of the proceedings before the Court. The terms in which it is couched may conceal its purpose, but, stripped of its outward form, it aims at disqualifying the applicant Party, at excluding it as a party to the proceedings and at preventing the whole examination of the case by the Court.

Accordingly, the first question that arises is this: can Estonia to-day grant her diplomatic protection to a national, even if the latter's claim dates from a time when he could not then possess Estonian nationality, because at that time such nationality did not exist in law? Is this legal capacity of Estonia well-founded, supposing that Estonian nationality has been required through some international event?

Had the objection been lodged in that form, its preliminary character would have been unmistakable.

In replying to such a question, we pronounce upon Estonia's capacity, at the present time, to sue before the Court and we do not prejudice our later attitude towards the merits of the case.

If, in such circumstances, we admit the principle that Estonia has the necessary title to espouse the cause of the *Esimene* Company, we are not in any way prejudging subsequent questions as to the origin of the Company, its possible connection, or even identity, with the former Russian Company referred to in the additional Article XI of the Treaty of Tartu, the interpretation of certain clauses in that Treaty, etc. Should it appear later that the Company was mistaken about its origins and the date at which it acquired its legal personality, it will thereby be established that the Estonian State, despite the tie of nationality between itself and the protected person, was wrong in espousing the case of a person who is himself not qualified in the particular matter at issue. However, the real preliminary question concerning Estonia's present capacity as a Party to the proceedings falls in the first place to be considered in the more limited sense mentioned above. If that capacity had been admitted, the proceedings could have taken their normal course without any relevant point being prejudged.

I am not unaware that the first objection has been taken as it stands, on its literal terms, on the basis of the "nationality of the claim", the "nationality of interests", and without extracting the essential meaning of the objection, namely, the incapacity of Estonia as a Party to the case at issue.

On this basis it may admittedly be difficult to dispose of the first objection without touching upon certain questions of merit necessarily related thereto. I think, however, that we can do so without committing ourselves to an opinion and without prejudice to our final decision. According to an oft-cited formula, it is permissible and on occasions necessary to "touch upon" merits when deciding upon a preliminary objection. Lithuania's first objection may, I think, be dealt with in this way, even when examined in the light of the terms used in it.

In any event, it was essential, in my opinion, to decide before all else upon the fundamental point upon which the whole case rests, namely, Estonia's legal capacity. Estonia's title in this matter having been disputed, it should have been decided whether she could or could not appear as a Party to the proceedings; in any event, this objection, which is essentially a peremptory one, should in my opinion have taken

precedence of any other. It may be argued that a decision allowing the first objection would rule out the second. But what interest could still attach to the second, in that case? None whatever for Estonia, if she were disqualified, and practically none for the private company, if thus deprived of international protection.

A decision concerning the second objection, given before a decision on the first, appears to imply at any rate a provisional recognition of Estonia as a qualified Party in the case. The Agent for the Lithuanian Government may have had this consequence in mind, when he advanced the following argument, which incidentally is inconsistent with the first objection (Oral Statements, Preliminary Objections, p. 64): 'The Lithuanian Government only asks that, before submitting to the Court a claim regarding the alleged violation of its national's rights, the Estonian Government shall observe the rule prescribing the preliminary exhaustion of all local remedies.'

I may be allowed to mention a point which may serve to emphasize some of the arguments I have been developing. In 1936, that is, at the beginning of the diplomatic conversations between the two Governments, the Government of Lithuania, being in full possession of the facts, should, once it desired to dispute the right of the other Party to intervene, have lodged this objection, reserving the right to maintain it, if necessary, despite the continued conversations on the merits of the claim. If this had been done, Estonia would have been justified in regarding this difference of opinion as involving a point of international law which could be submitted directly to the Court under Article 36, paragraph 2, of the Statute. The dispute in that case would have been strictly a dispute between States.

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With regard to the second objection, which the Court has allowed, I have the following remarks to make:

Its text is not altogether correctly worded. It speaks of the non-observance by the Estonian Government of the rule requiring exhaustion of remedies afforded by municipal law. This condition, however, applies to the national concerned, and not to the protecting State. It is for the State whose protection is asked to see that the applicant has fulfilled the necessary condition.

The rule of international law concerning exhaustion of local remedies is generally accepted. It figures in many bilateral

treaties and in general terms in the "General Act" of 1928, Article 31 of which provides: "In the case of a dispute the occasion of which, according to the municipal law of one of the parties, falls within the competence of its judicial or administrative authorities, the party in question may object to the matter in dispute being submitted for settlement by the different methods laid down in the present General Act until a decision with final effect has been pronounced, within a reasonable time, by the competent authority."

If the rule were to be strictly and rigidly observed, and assuming there to be no doubt that the *Esimene's* claim falls within the jurisdiction of the Lithuanian courts, it would have to be admitted that the Company itself has not exhausted local remedies and that its claim has not yet encountered a final decision.

The rule is generally recognized, but all agree that it is subject to certain reservations and exceptions; but the terms and scope of these are not easily defined by definite formulæ. It is therefore difficult to prove convincingly that an exception is valid.

The rule is intended to protect States against ill-founded or premature claims which have not been adequately considered by the competent national authorities. It is a principle of law the aim of which is eminently practical.

The essential feature of the rule concerning the exhaustion of local remedies is not therefore that certain things shall have been done or certain formalities observed before diplomatic protection, in its various forms, can begin to operate on behalf of the individuals concerned. It may happen that the State to which a claim is presented may be quite prepared to discuss its merits or even prepared to submit the claim to an international tribunal, although no final decision has been rendered by the competent judicial or administrative authority of the country. If in a particular case it appears from the attitude of the government that it waives this condition and that it is so to speak prepared to transfer the claim directly to the international plane, it cannot subsequently retreat from that position.

From the nature of the rule it follows that, practically speaking, local remedies may have been exhausted even though the interested party itself has not gone as far as the ultimate tribunal open to it. In actual fact it may happen either that passage through all the courts to the final court of appeal would be of no real use or effect, or that the competent authorities may—at all events implicitly—have passed upon

essential points of the case in such a way that practically speaking there remains nothing to "exhaust". A situation of this kind may be tantamount to the position which the rule as to the exhaustion of local remedies by the interested party itself is designed to create.

Certain arbitral decisions regarding the question of the exhaustion of local remedies are based on considerations of this kind. Very rightly a distinction is drawn between the procedure followed and the practical exhaustion of remedies. In some cases where the claimant has not gone as far as the ultimate court of appeal theoretically open to him, it has been held that an exception to the strict rule was nevertheless justified.

The case now before the Court is a somewhat curious one. When the Lithuanian Government assures us that local remedies are fully open to the *Esimene* Company, its statement is clearly correct. But the essential point is not whether at the present time these remedies are available or not, but rather what the situation was before the proceedings now before the Court. And it cannot be denied that the situation was somewhat obscure. The legal title of the public authorities to possession of the railway seems to have been more or less vague. Only in the course of the proceedings before the Court has Lithuania invoked Articles 406 and 408 of the Civil Law. Even in the Counter-Memorial (p. 27) the Soviet Government is indicated as the owner of all property belonging to the "First Company"; the decree of June 28th, 1918, referred to all its property, "even that outside the borders of the Soviet Republic". The Lithuanian Council of State declared in its opinion of January 25th, 1933, *inter alia*: "Having regard to the fact that the Russian nationalization decrees did not affect .... the property of the First Company, the Lithuanian Government has only succeeded to the rights which belonged to Russia, in accordance with the concession granted to that Company...." With regard to the *Esimene* Company, the Council of State pronounced upon its legal status in this passage: "The *Esimene* Company .... is not legally entitled to submit to the Lithuanian State any claim in civil law to the Panevezys-Saldutiskis narrow-gauge railway." It would not appear necessary to consider more closely the question of the competence of the Lithuanian courts in order to reach that conclusion.

In view of this complexity of the legal position, the Lithuanian courts, if the *Esimene's* claim had been referred to them, would probably have been much embarrassed. No one can say how they would have decided the question of their own jurisdiction. Now, a reasonable application of the rule concerning the

exhaustion of local remedies would seem to require that the competent authorities should be clearly determined in law. In so far as one can judge from the evidence produced, the authorities have barely informed the *Esimene* that the courts were at their disposal; the Company has remained for years under the impression that a solution of the question could be reached by way of negotiations.

Some features of the Jeglinas case present a somewhat extraordinary and irregular aspect, but this does not detract from the important nature of the findings and conclusions of the High Court. The Supreme Court passed upon the question of identity *proprio motu*, declaring quite categorically that there was no continuity of legal personality between the First Russian Company and *Esimene*. It is to be supposed that it was after careful consideration that the Court found that the alleged defendant was not the person against whom the action had been brought. Of course the Lithuanian Government does not appear as a party in the case, but its views were doubtless well known.

The Jeglinas case naturally differed from the dispute underlying the Estonian application to this Court. There is no identity between the said action actually submitted to the Lithuanian courts and an action that we are imagining brought by *Esimene* against the Lithuanian State in virtue of certain rights. However, the arguments contained in the Supreme Court's judgment, which results in no operative provisions, but simply annuls the whole proceedings, are of exceptional importance. The findings and conclusions are decisive in respect of the essence of the claim submitted by the *Esimene* Company.

From the point of view of the Lithuanian courts, the judgment of the Supreme Court dealt a blow to the legal capacity of the *Esimene* Company to present a claim respecting the Panevezys-Saldutiskis railway. It seems quite impossible that any new arguments or evidence capable of overcoming the conviction of the Court could be produced.

It is clear that the judgment of the Court of Cassation cannot constitute *res judicata* with respect to the *Esimene's* claim. If it were so, there would be no reason to justify a departure from the general rule. The Court disputes the basis of that claim by implication only, but nevertheless categorically. Nor can it be imagined that the judgment of the Supreme Court would have been substantially different if a case had been brought before it in due form by the *Esimene* Company against the State of Lithuania.

It is also evident that in this matter there is and can be no question of a fixed rule. The Court was not concerned with the interpretation of certain rules of law; it defined a legal situation *proprio motu*. A fixed rule in a case of this kind seems inconceivable.

The opinion given by the Lithuanian Council of State in 1933, which of course has no binding force in law, must be regarded as an additional factor of some importance. In every country the considered opinion of an authority invested with powers such as those possessed by the Council, is entitled to serious respect, especially if it seeks to determine a specific legal situation. The attitude of the Lithuanian Government appears to be based upon this opinion. Incidentally, it should be noted that the French translation uses the expression: "the Council of State enacts".

The Lithuanian Government's Rejoinder (p. 38) says: "If the Lithuanian Government has not restored the railway to the *Esimene* Company, that is simply because it is convinced that the *Esimene* is not the company referred to in the Act of 1897." If that is in the last resort the argument of the defendant Party, it may be questioned whether the strict observance of the local remedies rule is not implicitly admitted to be almost entirely superfluous.

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For the above reasons and after pondering deeply the various aspects of the question, I have come to the conclusion that in this case there were reasons for allowing a departure from the general rule for the exhaustion of local remedies. I would emphasize that such a departure does not in any way invalidate this recognized rule of international law.

(Signed) R. ERICH.